

The Wharton School
Venture Capital and Entrepreneurial Management

HiTECH, Inc.
Series B Preferred Stock Financing
Summary of Terms

Caselette #5: Analysis of a Venture Capital Term Sheet

Introduction: The purpose of this exercise is issue spotting. The Summary of Terms is conventional in most respects. However, a number of terms have been deliberately revised in ways that would create serious issues either for the Company or the Investors – there are over 25 “traps for the unwary” that have been dropped into this term sheet. To assist in this exercise, sections of the term sheet that have not been planted with any “traps” have been *italicized* and marked with [brackets].

[Background: *HiTECH, Inc. has developed the first fully integrated management, storage, and intelligence gathering software for existing Close Circuit TV (CCTV) and digital surveillance networks, with robust applications in the security and monitoring industry. The Company, based in Silicon Valley, has a total of 14 employees, most of them engaged in product development. The three founders of the Company have credible management experience in venture-backed startup companies, and have already raised \$2,500,000 in funding through the sale of Series A Preferred to a handful of angel investors and early stage funds at a price of \$1.00 per share. In addition, the founders of the Company have loaned a total of \$1,000,000 to the Company against promissory notes that become due and payable upon the completion of an equity financing which raises more than \$3,000,000.*

With this funding, the Company’s product development activities are at the point that the Company is ready to begin pilot implementation and testing with a few commercial partners. The Company recognizes that with this next phase of its growth, it will have to recruit a Vice President of Sales, and several director-level system engineers and other support staff, and expects its headcount to increase to 30 employees over the next 12 months. Assuming that the Company is able to execute on its operating plan, the funding it seeks--\$7,000,000--will last 9 months and will just be sufficient to bring the Company to first commercial release of its product.

The Company has less than 60 days of cash remaining, but has been successful in canvassing the venture capital community for purposes of raising another round of funding through the sale of Series B Preferred. Three known venture funds, headed up by WorldView Ventures as the lead investor, have expressed strong interest in syndicating together to make an aggregate investment of approximately \$7,000,000 at an increased Company valuation. In addition, the three founders would also like the opportunity to participate in the financing. WorldView Ventures provides the following term sheet.]

I Equity Financing

The Series B Preferred Stock financing of HiTECH, Inc., a Delaware corporation (the “Company”), will consist of the purchase and sale of up to 2,000,000 shares of Series B Preferred Stock (the “Series B Preferred”) at \$3.50 per share by WorldView Ventures and the other new investors (the “Investors”). The proceeds to the Company resulting from the Series B Financing will be used principally for working capital, including research and development, headcount growth, business development, the repayment of founders’ notes, and other general corporate purposes.

II Capitalization

[Following completion of the Series B Financing, the authorized capital stock of the Company (i.e., the number of shares that the company can lawfully issue as set forth in the certificate of incorporation) will consist of 8,000,000 shares of Common Stock and 4,500,000 shares of Preferred Stock. Of the Preferred Stock, 2,000,000 shares will be designated Series B Preferred and 2,500,000 shares will be designated Series A Preferred. All shares of Preferred Stock are convertible into Common Stock initially at a ratio of 1:1.]

Assuming the sale of all authorized shares of Series B Preferred, the Company will have issued or reserved for issuance 8,000,000 shares of its Common Stock. This Common Stock reserve will include 2,000,000 shares reserved for issuance upon conversion of the Series B Preferred, 2,500,000 shares reserved for issuance upon conversion of the outstanding Series A Preferred (which was issued at a price of \$1.00 per share), 3,000,000 shares of outstanding Common Stock, and 500,000 shares reserved for issuance under the Company’s Stock Option Plan (the “Option Plan”).

Because of the liquidation preference and other rights and preferences of the Series A and Series B Preferred, the purchase price of the Common Stock and the exercise price of options granted under the Option Plan have been and will continue to be substantially discounted from the purchase price of the Series B Preferred.

III Principal Terms of Series B Preferred Financing

The following are the principal terms of the Series B Financing:

<u>Security:</u>	Series B Preferred Shares
<u>Price per Share:</u>	\$3.50 per share to new investors (including members of management as permitted by WorldView Ventures); a discounted price of \$3.00 per share to existing Series A Preferred investors; for an aggregate purchase price not to exceed \$7,000,000.
<u>Closing in Two Tranches:</u>	The closing of the financing shall occur in two tranches. The closing of the first tranche (the “First Close”) shall occur within 30 days following the execution of this term sheet and the completion of the documentation and conditions to close as outlined herein. The First Close shall be for the amount of \$3,000,000 (exclusive of amounts invested by management); of this amount, it shall be a condition to the First Close that the existing holders of the Series A Preferred shall invest funds in the same ratio that \$2,500,000 (i.e., the amount originally invested in the Series A Preferred) bears to \$7,000,000 (the proposed total investment in the Series B Preferred). The closing of the second tranche (the “Second Close”) shall be conditioned upon the successful completion, within 12 months after the First Close, of a pilot implementation of the Company’s product, as determined by the unanimous vote of the Board of Directors. Upon the Second Close, and subject to the absence of any material adverse change in the Company’s business, the Investors shall be obligated to purchase additional shares of Series B Preferred with an aggregate price of \$4,000,000.
<u>Consideration:</u>	Cash, with the exception that those members of the management of the Company permitted to invest in the financing may purchase Series B Preferred with a combination of cash and promissory notes, such notes not to exceed 40% of the members’ aggregate purchase price and maturing 3 years following the last close.
<u>Dividends:</u>	The holders of Series B Preferred are entitled to receive cumulative dividends at the rate of \$0.35 per share (i.e., a 10% accruing dividend rate), payable upon the occurrence of either (A) the initial public offering by the Company of shares for its own account, or (B) any

event that would constitute a “Liquidation.” Dividends payable to the holders of the Series B Preferred will be prior in payment and in preference to any dividends on Series A Preferred or Common Stock.

The holders of Series A Preferred are entitled to receive dividends when and as declared by the Board of Directors at the rate of \$0.10 per share, and shall be prior and in preference to any dividends on Common Stock. Any dividends so declared by the Board of Directors on the Series A Preferred shall be non-cumulative.

Liquidation Preference:

In the event of a “Liquidation” (defined below), the holders of Series B Preferred will receive, prior and in preference to any payment to holders of Series A Preferred or Common Stock, the amount of \$10.50 per share (i.e., 3X the original purchase price paid), of Series B Preferred, plus the amount of any cumulative but unpaid dividend (the “Series B Liquidation Preference”). If the assets available for distribution to the holders of Series B Preferred are less than the aggregate Series B Liquidation Preference, the available assets shall be distributed pro-rata among the holders of Series B Preferred based on the number of shares held by each. After payment in full of the entire Series B Liquidation Preference, the holders of Series A Preferred will receive prior and in preference to any payment to holders of Common Stock, the amount of \$1.00 per share of Series A Preferred (the “Series A Liquidation Preference”). If after payment of the full Series B Liquidation Preference, the assets available for distribution to the holders of Series A Preferred are less than the aggregate Series A Liquidation Preference, the available assets shall be distributed pro-rata among the holders of Series A Preferred based on the number of shares held by each. Payment of the full Series B Liquidation Preference and Series A Liquidation Preference will be made prior to any payment to holders of Common Stock. Following payment of the full Series B Liquidation Preference and the full Series A Liquidation Preference, any remaining assets shall be distributed to the holders of the Series B Preferred, the Series A Preferred and the Common Stock pro-rata based on the number of shares of Common Stock or Common Stock equivalents held by each.

For the purposes of this provision, a “Liquidation” includes (i) a merger or consolidation in which the Company's outstanding shares are exchanged for other securities, property and/or cash, and (ii) a sale of all or substantially all of the assets of the Company, and (iii) a liquidation or winding up of the Company or all or any substantial part of its assets.

Conversion:

Holders of Preferred Stock may convert their shares into Common Stock at any time following the date of issuance at the then-applicable conversion price. Each share of Preferred Stock will convert automatically into Common Stock in the event of a firm-commitment initial public offering of Common Stock with aggregate gross offering proceeds of at least \$10 million, subject in the case of the Series B Preferred to the payment in full of the Series B Liquidation Preference, effective upon the closing of the offering.

Each share of Preferred Stock will convert automatically into Common Stock upon the written consent of holders of more than 50% of the then-outstanding Preferred Stock, all series voting together as a single class.

Antidilution
Adjustments:

The initial conversion prices for the Series A Preferred and for the Series B Preferred (including in respect of any shares of Series B Preferred sold to holders of the Series A Preferred at the discounted purchase price) shall be \$1.00 and \$3.50, respectively, resulting in an initial conversion rate for both series of 1:1.

Such conversion prices will be subject to adjustment, according to a “full ratchet” conversion formula in the case of the Series A Preferred and a “broad-based weighted average formula” in the case of the Series B Preferred, in the event the Company issues additional shares of its capital stock for a consideration less than the applicable conversion price then in effect. The weighted average formula will be based on outstanding shares of Common Stock, assuming exercise or conversion of all outstanding securities exercisable for or convertible into Common Stock. No adjustment shall be made, however, in connection with issuances of Common Stock (“Excluded Shares”) (i) upon conversion of the Preferred Stock, (ii) to officers, directors, and employees of and consultants to the Company on terms approved by the Board of Directors, (iii) in connection with stock dividends paid to holders of Preferred Stock and to holders of Common Stock, (iv) in connection with issuances of the Company’s capital stock as consideration in an acquisition or asset purchase, and (v) in connection with debt financing transactions with commercial lenders or lease financing transactions or in connection with commercial transactions with vendors or strategic partners on terms approved by the Board of Directors.

Voting: Except as provided in the protective covenants described below and except as provided by law, the holders of Preferred Stock and the holders of Common Stock will vote together on an as-if-converted-to-Common Stock basis.

Protective Covenants: Without the consent of the holders of 50% of the then-outstanding Preferred Stock and for so long as at least 500,000 shares of Preferred Stock remain outstanding, the Company may not (i) amend its certificate of incorporation or bylaws to adversely alter or change the rights of or increase or decrease the number of authorized shares of Preferred Stock; (ii) issue equity securities senior to the Series B Preferred; (iii) merge with or into another corporation; (iv) sell all or substantially all of the Company's assets; (v) pay dividends on Common Stock; (vi) repurchase any of its Common Stock except pursuant to employee or consultant repurchase agreements; (vii) effect any change in the current executive officers of the Company; (viii) fail to pay all taxes, payables and other bona fide debts and obligations of the Company when due; or (ix) materially deviate from its annual operating plan as approved at the beginning of each fiscal year by the Board of Directors.

Board of Directors: The Company's Board of Directors will consist of five members. The Company's Certificate of Incorporation will provide that holders of Common Stock will be entitled to designate and elect one director; the holders of Series A Preferred will be entitled to designate and elect one director; and the holders of Series B Preferred will be entitled to designate and elect three directors. The holders of Preferred Stock and the founders of the Company will enter a Voting Agreement pursuant to which they will agree to vote for and cause to be elected as members of the Company's Board of Directors (i) three representatives nominated by holders of a majority of the Series B Preferred, (ii) one representative nominated by holders of a majority of the Series A Preferred, and (iii) one representative nominated by holders of the outstanding Common Stock.

IV The Purchase Agreement

General:

[The investment will be made pursuant to a purchase agreement (the “Purchase Agreement”), which will contain, among other things, (i) customary representations and warranties by the Company, (ii) investment representations by the purchasers as required by the Securities Act of 1933, as amended (the “Securities Act”), and applicable state blue sky laws, and (iii) covenants of the Company reflecting the provisions set forth herein. Such agreement shall be in substantially similar form to the Purchase Agreement relating to the Company’s Series A Preferred Stock.]

Closing Conditions:

The Purchase Agreement shall be subject to customary closing conditions for the First Close and the Second Close, including: (i) completion of business, accounting and legal due diligence to the satisfaction of the Investors; (ii) compliance with applicable state blue sky laws and the filing of the Restated Certificate of Incorporation; (iii) authorization of the respective investment committees of each of the Investors; (iv) the absence of any material adverse change in the business of the Company as to the First Close and the Second Close; and (v) delivery of a satisfactory legal opinion by the Company’s counsel.

Registration Rights:

[(1) Demand Rights. Investors holding at least 66-2/3% of the Preferred Stock (or Common Stock issued upon conversion of the Preferred Stock or a combination of such Common and Preferred Stock) may request at any time beginning six months after completion of the Company’s initial public offering that the Company file a registration statement under the Securities Act for at least 33-1/3% of their shares, and the Company will use its best efforts to cause such shares to be registered. The Company shall not be obligated to cause more than two registration under this demand right provision to become effective.

(2) Company Registration. The investors will be entitled to unlimited “piggy-back” registration rights on all registrations of the Company, excluding a registration in connection with an initial public offering, subject to the right, however, of the underwriters to reduce the number of shares proposed to be registered as they deem necessary.

(3) S-3 Rights. *The investors will be entitled to up to four Form S-3 registrations at such times as the Company is a registrant entitled to use Form S-3, provided that the aggregate offering price of such registration exceeds \$1,000,000.*

(4) Expenses. *The registration expenses (exclusive of stock transfer taxes, underwriting discounts and commissions, or fees of special counsel of a selling stockholder) of any registration hereunder will be borne by the Company.*

(5) Transfer of Rights. *The registration rights may be transferred to any permitted transferee or to any transferee who thereafter holds 500,000 or more shares, provided the Company is given written notice thereof.*

(6) Other Provisions; Termination. *The registration rights agreement will contain other standard provisions, including cross-indemnification. Registration rights will terminate at such time as all shares held by an investor may be resold under Rule 144 within a 3 month period.]*

Preemptive Rights:

The holders of Preferred Stock will have the right to purchase any or all new issuances of the Company's shares in connection with financing transactions of the Company (i.e., such right of purchase shall not arise in connection with any issuance of Excluded Shares and other customary exclusions). Such right will be exercisable within 15 days after the Company mails written notice thereof to the holders of Preferred Stock.

Drag-Along Rights:

The holders of the Preferred Stock and certain holders of the Common Stock, including all of the officers of the Company, will be required to vote all securities of the Company held by them in favor of any merger, sale of voting control or sale of all or substantially all of the assets of the Company if such transaction is approved by the holders of a majority of the Series B Preferred Stock.

Right of First Refusal and Co-Sale.

All shares of the Company's Preferred Stock and Common Stock shall be made subject to a right of first refusal and co-sale agreement in favor of those stockholders who own 250,000 or more shares of Preferred Stock ("Major Stockholders") such that no common or preferred stockholder may sell, transfer or exchange their stock unless

the Company first, and each of the non-selling Major Stockholders second, has an opportunity to purchase such shares, which purchase with respect to the Major Stockholders shall be on a pro rata basis of Preferred Stock Ownership. If such right of first refusal is not exercised in full, then each non-selling Major Stockholder shall have the right to participate in the sale on a pro rata basis of Preferred Stock ownership. This right of co-sale shall not apply to and shall terminate upon an initial public offering or upon an acquisition, merger or consolidation of the Company.

Confidentiality Agreements: *As of the closing, each officer and employee of the Company will have entered into a confidentiality agreement with respect to proprietary information and inventions, and the Company will have agreed to obtain such agreements in the future.]*

Key-Person Insurance: The Company shall procure key-person life insurance policies for each of the three founders of the Company in the amount of \$2,000,000 per person, naming the Investors as beneficiaries.

Indemnification: In addition to customary mandatory indemnification by the Company of officers and directors acting in their capacity as such, the Company will indemnify the Purchasers for any claims brought by any third party (including any other stockholder in the Company) as a result of this financing or otherwise in connection with such Purchaser's activities as a stockholder.

Information Rights: *Purchasers holding any outstanding Preferred Stock will be entitled to receive unaudited quarterly and audited annual financial statements. Holders of at least 250,000 shares of Preferred Stock will be entitled to receive the Company's annual operating plan within 45 days of the beginning of each fiscal year. These information rights terminate upon an initial public offering.*

Fees: *Each of the Investors and the Company will be responsible for payment of their own fees and expenses, provided that the Company will pay the fees and disbursements of one special counsel for the Investors (not to exceed \$35,000).]*

Exclusivity:

The Company agrees that for a period of 30 days from the date of execution of this Summary of Terms, it will not, nor will it permit any officer, director or other affiliate, directly or indirectly, to solicit, entertain, negotiate or enter into any agreement or accept any proposal for, any debt or equity financing or sale of the Company, other than pursuant to this Summary of Terms. In addition, the Company will immediately cease all discussions regarding an investment in or financing for the company with any party other than WorldView Ventures.

Binding Agreement:

This agreement is intended to be a legally binding instrument that reflects the principal points of agreement among the Investors, the Founders and the Company, subject to the preparation and execution a definitive Purchase Agreement.

Accepted and Agreed:

Worldview Ventures,
on behalf of the Investors

HiTech, Inc.
